

more exposure off in 2008 was that I was only about 75 percent net long. Virtually every mutual fund on the planet is close to 100 percent long. So what is the big deal?

**With the benefit of hindsight, do you believe you made any mistakes in 1999?**

I did make one change to the process because of the 1999 experience. I previously used a 90 percent confidence interval to define the extremes at which I would go to a maximum net long or short position in the portfolio. As a result of the 1999 experience, I widened the band to 95 percent. Part of the judgment factor is how much risk you want to take at the extremes because the market can keep going. The problem I had in 1999 was that I went to a maximum short position too early.

But in terms of stock selection, I don't think we did anything wrong. At the start of 2000, I was trying to figure out what went wrong in 1999. I have what I call my Evel Knievel screen. These are companies that are trying to jump the Grand Canyon and probably won't make it. There are only two conditions for the screen. First, the company is trading at more than five times book value. Second, the company is losing money. My job is to figure out which stocks won't make it across the Grand Canyon and then go short those stocks.

At the time, the Internet business model was to get share on the net. It didn't make a difference how much money you lost doing it, as long as you increased your share. In fact, if you lost a lot of money, it meant you were being aggressive. Normally, when I do my Evel Knievel screen, I get maybe 60 or so companies. At the end of 1999, I had 180 names. And out of these 180 names, about two-thirds of them had doubled in price during the prior quarter. I thought to myself, *There is nothing you can do; these are the best shorts on the planet.* I ultimately concluded that I would go short those types of stocks again because 99 times out of a 100, I am going to make money. So it would be wrong for me to change my approach because of the 1999 experience.

**So you concluded that you didn't really do anything wrong.**

That's right. Just because you made money doesn't mean you were right, and just because you lost money doesn't mean you were wrong. It is all a